Annex XXI

Guidelines on Liquidity Coverage Ratio (LCR)

1. Applicability

In addition to the guidelines laid down in **Annex VI** of these Directions, all non-deposit taking NBFCs with asset size of ₹5,000 crore and above (except Core Investment Companies, Type 1 NBFCs[58], NOFHCs and SPDs) and all deposit taking NBFCs irrespective of the asset size shall adhere to the following guidelines while computing the Liquidity Coverage Ratio.

2. Definitions

2.1 In the Directions, unless the context otherwise requires, the terms herein shall bear the meanings assigned to them below

2.1.1 "High Quality Liquid Assets (HQLA)" means liquid assets that can be readily sold or immediately converted into cash at little or no loss of value or used as collateral to obtain funds in a range of stress scenarios.

2.1.2 Liquidity Coverage Ratio (LCR) is represented by the following ratio:

$$\frac{Stock\ of\ High\ Quality\ Liquid\ Assets\ (HQLAs)}{Total\ Net\ Cash\ Outflows\ over\ the\ next\ 30\ calendar\ days}$$

2.1.3 "Unencumbered" means free of legal, regulatory, contractual or other restrictions on the ability of the NBFC to liquidate, sell, transfer, or assign the asset.

2.1.4 All other expressions unless defined herein shall have the same meaning as have been assigned to them under the RBI Act, 1934 or any statutory modification or re-enactment thereto or as used in commercial parlance, as the case may be.

3. General Guidelines

3.1 An NBFC shall maintain an adequate level of unencumbered HQLA that can be converted into cash to meet its liquidity needs for a 30 calendar-day time horizon under a significantly severe liquidity stress scenario, as specified in these guidelines.

3.2 LCR shall be maintained as at paragraph 3.3 below on an ongoing basis to help monitor and control liquidity risk.

[58] As per Press Release dated June 17, 2016.

3.3 (i) The LCR requirement shall be binding on all non-deposit taking NBFCs with asset size of ₹10,000 crore and above and all deposit taking NBFCs irrespective of the asset size from December 1, 2020, with the minimum LCR to be 50 percent, progressively increasing, till it reaches the required level of 100 percent, by December 1, 2024, as per the timeline given below:

From	December 1, 2020	December 1, 2021	December 1, 2022	December 1, 2023	December 1, 2024
Minimum LCR	50%	60%	70%	85%	100%

(ii) Further, Non-deposit taking NBFCs with asset size of ₹5,000 crore and above but less than ₹10,000 crore shall also maintain the required level of LCR starting December 1, 2020, as per the timeline given below:

From	December 1, 2020	December 1, 2021	December 1, 2022	December 1, 2023	December 1, 2024
Minimum LCR	30%	50%	60%	85%	100%

3.4 The LCR shall continue to be minimum 100 percent (i.e., the stock of HQLA shall at least equal total net cash outflows) on an ongoing basis with effect from December 1, 2024, i.e., at the end of the phase-in period.

Provided that NBFCs shall have the option to use their stock of HQLA, thereby allowing LCR to fall below 100 percent during a period of financial stress.

Provided further that NBFCs shall immediately report to the Reserve Bank (Department of Regulation and Department of Supervision) such use of stock of HQLA during a period of financial stress along with reasons for such usage and corrective steps initiated to rectify the situation.

3.5 The stress scenario for LCR intends to cover a combined idiosyncratic and market-wide shock that would result in:

(i) Run-off of a proportion of deposits (in case of deposit taking NBFCs);

(ii) A partial loss of unsecured wholesale funding capacity;

(iii) A partial loss of secured, short-term financing with certain collateral and counterparties;

(iv) Additional contractual outflows that would arise from a downgrade in the NBFC's credit rating, including collateral posting requirements;

(v) Increases in market volatilities that impact the quality of collateral or potential future exposure of derivative positions and thus require larger collateral haircuts or additional collateral, or lead to other liquidity needs;

(vi) Unscheduled draws on committed but unused credit and liquidity facilities that the NBFC has provided to its clients; and,

(vii) The potential need for the NBFC to buy back debt or honour non-contractual obligations in the interest of mitigating reputational risk.

4. High Quality Liquid Assets

4.1 Liquid assets comprise of high quality assets that can be readily sold or used as collateral to obtain funds in a range of stress scenarios. They shall be unencumbered. Assets are considered to be *high quality liquid assets* if they can be easily and immediately converted into cash at little or no loss of value. The liquidity of an asset depends on the underlying stress scenario, the volume to be monetized and the timeframe considered. Nevertheless, there are certain assets that are more likely to generate funds without incurring large discounts due to fire-sales even in times of stress.

4.2 The fundamental characteristics of HQLAs include low credit and market risk; ease and certainty of valuation; low correlation with risky assets and listing on a developed and recognized exchange market. The market related characteristics of HQLAs include active and sizeable market; presence of committed market makers; low market concentration and flight to quality (tendencies to move into these types of assets in a systemic crisis).

4.3 Assets to be included in the computation of HQLAs are those that the NBFC is holding on the first day of the stress period. Such assets shall be valued at an amount no greater than their current market value for the purpose of computing the LCR. Depending upon the nature of assets, they have been assigned different haircuts below, which are to be applied while calculating the HQLA for the purpose of calculation of LCR. The assets and the haircuts are as under:

4.3.1 Assets to be included as HQLA without any haircut

(i) Cash[59]

(ii) Government securities

(iii) Marketable securities issued or guaranteed by foreign sovereigns satisfying all the following conditions:

(a) Assigned a 0 percent risk weight by banks under standardized approach for credit risk;

(b) Traded in large, deep and active repo or cash markets characterised by a low level of concentration; and proven record as a reliable source of liquidity in the markets (repo or sale) even during stressed market conditions.

(c) Not issued by a bank/financial institution/NBFC or any of its affiliated entities.

4.3.2 Assets to be considered for HQLA with a minimum haircut of 15 percent

(i) Marketable securities representing claims on or claims guaranteed by sovereigns, Public Sector Entities (PSEs) or multilateral development banks that are assigned a 20 percent risk weight by banks under standardised approach for credit risk and provided that they are not issued by a bank/financial institution/NBFC or any of its affiliated entities.

(ii) Corporate bonds, not issued by a bank/financial institution/NBFC or any of its affiliated entities, which have been rated AA- or above by an eligible credit rating agency.

(iii) Commercial Papers not issued by a bank/PD/financial institution or any of its affiliated entities, which have a short-term rating equivalent to the long-term rating of AA- or above by an eligible credit rating agency.

4.3.3 Asset to be considered for HQLA with a minimum haircut of 50 percent

(i) Marketable securities representing claims on or claims guaranteed by sovereigns having risk weights higher than 20 percent but not higher than 50 percent, i.e., they should have a credit rating not lower than BBB- as prescribed for banks in India.

(ii) Common Equity Shares which satisfy all of the following conditions:

(a) Not issued by a bank/ financial institution/NBFC or any of its affiliated entities;

(b) Included in NSE CNX Nifty index and/or S&P BSE Sensex index.

(iii) Corporate debt securities (including commercial paper) and the securities having usual fundamental and market related characteristics for HQLAs and meeting the following conditions:

[59] Cash would mean cash on hand and demand deposits with Scheduled Commercial Banks.

(a) Not issued by a bank, financial institution, PD, NBFC or any of its affiliated entities;

(b) Have a long-term credit rating from an eligible credit rating agency between A+ and BBB- or in the absence of a long-term rating, a short-term rating equivalent in quality to the long-term rating;

(c)Traded in large, deep and active repo or cash markets characterised by a low level of concentration; and

(d) Have a proven record as a reliable source of liquidity in the markets (repo or sale) even during stressed market conditions, i.e. a maximum decline of price not exceeding 20 percent or increase in haircut over a 30-day period not exceeding 20 percentage points during a relevant period of significant liquidity stress.

4.4 For the purpose of computing LCR for deposit taking NBFCs, such unencumbered approved securities held as per the provisions of section 45IB of the RBI Act, 1934, would be reckoned as HQLA only to the extent of 80 percent of the required holding.

4.5 All assets in the stock of liquid assets must be managed as part of that pool by the NBFC and shall be subject to the following operational requirements:

(i) Must be available at all times to be converted into cash;

(ii) Shall be unencumbered;

(iii) Shall not be co-mingled/used as hedges on trading position; designated as collateral or credit enhancement in structured transactions or designated to cover operational costs;

(iv) Shall be managed with sole intent for use as a source of contingent funds; and,

(v) Shall be under the control of specific function/s charged with managing liquidity risk of the bank, e.g. ALCO.

4.6 NBFCs should periodically monetize a proportion of assets through repo or outright sale to test the saleability of these assets and to minimize the risk of negative signalling during period of stress. NBFCs are also expected to maintain liquid assets consistent with distribution of their liquidity needs by currency.

4.7 If an eligible liquid asset becomes ineligible (e.g. due to downgrade), NBFCs will be allowed to keep the asset in their stock of liquid assets for an additional 30 calendar days in order to have sufficient time to adjust the stock/replace the asset.

5. Total net cash outflows

5.1 Total net cash outflows is defined as the total expected cash outflows minus total expected cash inflows for the subsequent 30 calendar days. Considering the unique nature of the balance sheet of the NBFCs, stressed cash flows is computed by assigning a predefined stress percentage to the overall cash inflows and cash outflows. Total expected cash outflows (stressed outflows) are calculated by multiplying the outstanding balances of various categories or types of liabilities and off-balance sheet commitments by 115 percent (15 percent being the rate at which they are expected to run off further or be drawn down). Total expected cash inflows (stressed inflows) are calculated by multiplying the outstanding balances of various categories of contractual receivables by 75 percent (25 percent being the rate at which they are expected to under-flow). However, total cash inflows will be subjected to an aggregate cap of 75 percent of total expected cash outflows. In other words, total net cash outflows over the next 30 days = Stressed Outflows - Min (stressed inflows; 75 percent of stressed outflows).

Items of Cash Inflows	Items of Cash Outflows
a. Maturing secured lending transactions backed by HQLA b. Margin Lending backed by all other collateral c. All other assets d. Lines of credit – Credit or liquidity facilities or other contingent funding facilities that the NBFC holds at other institutions for its own purpose e. Other inflows by counterparty f. Net derivatives cash inflows g. Other contractual cash inflows (please specify as footnotes)	a. Deposits b. Unsecured wholesale Funding c. Secured Funding d. Additional requirements [(i)+(ii)+(iii)+(iv)+(v) +(vi)+(vii)+(viii)]: (i) Net derivative cash outflows (ii) Liquidity needs (e.g. collateral calls) related to financing transactions, derivatives and other contracts where ‘downgrade triggers’ up to and including a 3-notch downgrade (iii) Market valuation changes on derivatives transactions (largest absolute net 30-day collateral flows realised during the preceding 24 months) based on look back approach

Items of Cash Inflows	Items of Cash Outflows
	(iv) Increased liquidity needs related to the potential for valuation changes in collateral securing derivatives (v) Increased liquidity needs related to excess non-segregated collateral held that could contractually be called at any time by the counterparty (vi) Increased liquidity needs related to contractually required collateral on transactions for which the counterparty has not yet demanded the collateral be posted (vii) Increased liquidity needs related to derivative transactions that allow collateral substitution to non-HQLA assets (viii) Currently undrawn committed credit and liquidity facilities e. Other contingent funding liabilities f. Any other contractual outflows not captured elsewhere in the template

Computation of Net cash outflows

S No.	Net Cash outflows over the 30 days period	Amount
A	Total Cash Outflows	
B	Stressed Cash Outflows (A*115%)	
C	Total Cash Inflows	
D	Stressed Cash Inflows (C*75%)	

E	**Total net cash outflows over the next 30 days = Stressed Outflows (B) - Minimum of (Stressed Inflows (D); 75% of Stressed Outflows(B)).**	

5.2 NBFCs will not be permitted to double count items, i.e., if an asset is included as part of the "stock of HQLA" (i.e., the numerator), the associated cash inflows cannot also be counted as cash inflows (i.e., part of the denominator). Where there is potential that an item could be counted in multiple outflow categories (e.g., committed liquidity facilities granted to cover debt maturing within the 30 calendar day period), an NBFC only has to assume up to the maximum contractual outflow for that product.

6. LCR Disclosure Standards

6.1 NBFCs are required to disclose information on their LCR every quarter. Further, NBFCs in their annual financial statements under Notes to Accounts, starting with the financial year ending March 31, 2021, shall disclose information on LCR for all the four quarters of the relevant financial year. The disclosure format is given in the **Appendix XXI-A**.

6.2 Data must be presented as simple averages of monthly observations over the previous quarter (i.e., the average is calculated over a period of 90 days). However, with effect from the financial year ending March 31, 2022, the simple average shall be calculated on daily observations.

6.3 In addition to the disclosures required by the format given in **Appendix XXI-A**, NBFCs should provide sufficient qualitative discussion (in their annual financial statements under Notes to Accounts) around the LCR to facilitate understanding of the results and data provided. For example, where significant to the LCR, NBFCs could discuss: (a) the main drivers of their LCR results and the evolution of the contribution of inputs to the LCR's calculation over time; (b) intra-period changes as well as changes over time; (c) the composition of HQLAs; (d) concentration of funding sources; (e) derivative exposures and potential collateral calls; (f) currency mismatch in the LCR; (g) other inflows and outflows in the LCR calculation that are not captured in the LCR common template but which the institution considers to be relevant for its liquidity profile.

Appendix XXI-A

LCR Disclosure Template

(₹ in Crore)		**Total Unweighted[60] Value (average)**	**Total Weighted [61] Value (average)**
High Quality Liquid Assets			
1	**Total High Quality Liquid Assets (HQLA)		
Cash Outflows			
2	Deposits (for deposit taking companies)		
3	Unsecured wholesale funding		
4	Secured wholesale funding		
5	Additional requirements, of which		
(i)	*Outflows related to derivative exposures and other collateral requirements*		
(ii)	*Outflows related to loss of funding on debt products*		
(iii)	*Credit and liquidity facilities*		
6	Other contractual funding obligations		
7	Other contingent funding obligations		
8	**TOTAL CASH OUTFLOWS**		
Cash Inflows			
9	Secured lending		
10	Inflows from fully performing exposures		
11	Other cash inflows		
12	**TOTAL CASH INFLOWS**		
			Total Adjusted Value
13	**TOTAL HQLA**		
14	**TOTAL NET CASH OUTFLOWS**		
15	**LIQUIDITY COVERAGE RATIO (%)**		

**Components of HQLA need to be disclosed

60 Unweighted values must be calculated as outstanding balances maturing or callable within 30 days (for inflows and outflows).
61 Weighted values must be calculated after the application of respective haircuts (for HQLA) and stress factors on inflow and outflow.